

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO.: 16:02

D.F. YOUNG, INC.,

COMPLAINANT,

V.

NYK LINE (NORTH AMERICA), INC.,

RESPONDENT

**COMPLAINANT D.F. YOUNG, INC.'S EXCEPTIONS TO INITIAL DECISION DENYING
COMPLAINANT'S SUMMARY DECISION MOTION AND GRANTING RESPONDENT'S
SUMMARY DECISION MOTION DATED AUGUST 1, 2017**

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ABBREVIATION LEGEND:

“DFY”:	Complainant D. F. Young, Inc.;
“DFY MSD”:	D. F. Young’s Motion for Summary Decision, Reply, Opposition to NYK’s Motion for Summary Decision and Exhibits
“NYK”:	Respondent NYK Line (N.A.), Inc.;
“Decision”:	The August 1, 2017 Initial Decision;
“FFC”:	Freight Forwarders Compensation pursuant to 46 CFR §515.42(c);
“Complaint”:	DFY’s verified Complaint, filed on February 3, 2016;
“First Answer”:	NYK’s Answer filed on March 23, 2016;
“2 nd Answer”:	NYK’s Amended Answer filed on September 23, 2016;
“Tariff”:	NYKS Tariff 156; (Public document and CX “1” to Motion for Summary Decision);
“Subpoena”:	Subpoenas issued Ford Motor Company by the Honorable Clay Guthridge at NYK’s request. (FMC docket/record)
“POA”:	Power of Attorney Agreed to between NYK and DFY on April 2, 2015 (CX “X” to DFY);
“Rule 230 Motion”:	DFY’s Motion To Recognize The NYK Tariff And Bill Of Lading Terms Or To Re-Open The Record And Remand Pursuant To Rule 230, filed with these exceptions.

A. SUMMARY OF KEY EXCEPTIONS

Exception No. 1: The Initial Decision Erred by Using the Wrong Summary Decision Standard in Denying DFY's Motion And Granting NYK's Motion.

The initial decision relied upon a pre-2010 discretionary standard to deny DFY's motion and used "discretion" to deny DFY's Motion when there were no facts in dispute:

- DFY performed freight forwarder activities – Undisputed.
- DFY performed the actions required by 46 CFR §515.42 – Undisputed.
- Ford, the shipper, admits that DFY satisfied 46 CFR §515.42 (c) for every shipment.
- DFY has performed 46 CFR §515.42 (c) services for every Ford vehicle shipped on NYK vessels since March 15, 2015 – Undisputed.
- NYK proffers no direct admissible evidence – NYK simply disagrees that they owe FFC to DFY.
- All non-party witness testimony demonstrates DFY's satisfaction of 46 CFR §515.42(c).

Exception No. 2: The Decision Erred As A Matter Of Law And Fact In Determining That NYKS Tariff 156 Did Not Apply.

NYK agrees that NYKS Tariff-156 and Rule 9 apply here. Not only do NYK Bills of Lading specifically incorporate NYK's tariff, in this case Tariff 156 and Rule 9, but NYK agreed specifically with DFY to "that the terms and condition of Carrier's regular form bill of lading shall apply to all shipments hereunder." There is no dispute here. The parties agreed that the tariff applied and now it must be enforced. See also, 46 CFR §520.13(C)(1)(requiring carriers to adhere to voluntarily published tariffs on exempt goods). (*Tariff 156, NYK0001, 54886, & 54975, CX "A" and DFY's Rule 230 Motion.*)

Exception No. 3: The Decision Erred When It Determined That NYKS Tariff 156 Did Not Apply.

The Decision identified an ambiguity in the Tariff. Then, after identifying the ambiguity, the ambiguity was interpreted in favor of NYK, the carrier that developed it, and against DFY, a member of the shipping public. The Decision incorrectly interpreted the language of the tariff by determining that the phrase "if applicable" only modified 2 of the 3 terms appearing prior to that phrase. The tariff language actually lists all three terms as not applicable. (*Tariff 156, NYK0001, 54886, & 54975, CX "A" and DFY's Rule 230 Motion.*)

Exception No. 4: The Decision Erred in Determining that the Tariff Only Applied to Tariff Rates and by Unreasonably Interpreting Tariff 156 and Rule 9 to Eliminate Freight Forwarding Compensation. (Id. At 20-22)

Tariff-156 and Rule 9 simply provides for 1.25% FFC on shipments of automobiles on NYK vessels. If a tariff is ambiguous in any sense, the ambiguity should be construed against the carrier which developed it. The Decision did the opposite, judging the ambiguity against DFY and in a manner that had no factual or logical basis.

Exceptions No. 5: The Decision Erred As A Matter Of Law When It Sought To Define The Term “Gross Freight” In A Manner At Odds With More Than A Century Of Universal Industry Acceptance.

The term “gross freight” has been a universally recognized term in admiralty and maritime law for centuries and therefore needs no definition. The Decision re-defined the term illogically and with no factual basis when interpreting the tariff language, drew inferences from that re-definition, and drew those inferences against DFY, not against NYK, who developed the tariff language.

Exception No. 6: The Decision Erroneously Determined That NYK, Despite Voluntarily Publishing A Tariff On An Exempt Cargo, Was Permitted To Violate 46 CFR §520.13(C)(1), Requiring Adherence To That Tariff.

Because NYK voluntarily published NYKS Tariff 156 including Rule 9, NYK must adhere to the tariff provisions. The Decision erred when it ignored this requirement and, in addition, determined that the tariff was inapplicable to DFY’s claim for FFC.

Exception No. 7: The Decision Erroneously Reversed The Burden Of Proof On NYK’s Affirmative Defense And Determined That The Existence Of Service Contracts Between NYK And A Shipper Absolve NYK Of Its Obligations To Adhere To NYK’s Own Voluntary Tariff Provisions Related To Third-Parties.

The Tariff applies in several demonstrated ways, including by contract between NYK and DFY: by operation of the Commission’s Rules, through the NYK/DFY Power of Attorney; through Tariff 156 language and by incorporation of para. 4 of the carriers Bill of Lading. (*Tariff 156, NYK0001, 54886, & 54975, CX “A” and DFY’s Rule 230 Motion.*)

- Purpose of Tariff and Service Contract Regulations
 - Service contracts are commercial agreements between independent parties. The tariff applies to the Shipping Public. A service contract cannot eliminate a carrier’s tariff obligations or adherence.
- Deviating from Freight Forwarder Compensation in Tariff
 - The Decision presupposes that the terms of service contracts between shippers and carriers automatically render all of the terms in the carrier’s tariff applicable to the kinds of shipments being made unless the service contract actually incorporates the tariff or vice-versa, but fails to see that tariffs, by their definition and purpose, reflect the terms of relationships between carriers and the greater shipping public, including shippers, while service contracts deal only with the relationship between carriers and the shippers.

Exception No. 8: The Decision Impermissibly Construes Inferences From Materials Facts Against Non-Movant DFY And Not In The Light Most Favorable To Non-Movant – Reverse Inferences.

- By NYK’s 2 Contradictory Verified Answers.

- NYK filed two separate and contradictory Verified Answers that, viewed in a light most favorable to DFY, question the materiality and relevance of an alleged service contract defense.
- The Power of Attorney
 - The Decision concluded that the NYK/DFY Power of Attorney was a “relevant” document to demonstrate DFY’s lack of entitlement to FFC. Instead, the POA demonstrates that the tariff applies by incorporation of the terms of NYK’s bills of lading.
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The Decision implies that the prior Freight Forwarder’s waiver of FFC is binding on DFY. There is absolutely nothing in the record of the case to suggest that there was ever any relationship between Schenker and DFY that would justify enforcing any such contract.

Exception No. 10: The Decision Erroneously Suggests Freight Forwarders Must Reach Agreements With Ocean Carriers In Order To Merit Compensation When The Ocean Carrier Operates Under A Confidential Service Contract With A Third Party.

There are no provisions in the Shipping Act, or sections of the Commission’s corresponding Regulations that require freight forwarders to obtain an agreement with ocean carriers that they will pay freight forwarder compensation. To the contrary, freight forwarders are entitled to rely on the information obtainable through public tariffs and publicly accessible essential terms of service contracts to determine whether they are entitled to compensation, what they must do to merit such compensation, and in what amount.

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The Decision would not just have the effect of depriving DFY of its right to compensation for work performed in nearly a twenty (20) month period, but could subject freight forwarders to prosecution by the Commission for violating 46 C.F.R. §515.42(d)’s prohibition against “accept[ing] compensation from a common carrier which is different from that specifically provided for in the carrier’s effective tariff(s).”

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COMPLAINANT D.F. YOUNG, INC.'S EXCEPTIONS TO THE AUGUST 1, 2017 INITIAL DECISION

Complainant, D.F. Young, Inc. ("DFY"), through its undersigned counsel, and pursuant to 46 CFR §502.227, asserts these Exceptions to Administrative Law Judge Erin Wirth's Initial Decision Denying Complainant's Summary Decision Motion and Granting NYK's Summary Decision Motion (August 1, 2017) ("Decision"). DFY submits that it is entitled to an award of Freight Forwarding Compensation ("FFC") and that Respondent NYK Line (N.A.), Inc.'s ("NYK") Motion must be denied as a matter of law and fact.

I. SUMMARY OF KEY EXCEPTIONS

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II. STANDARD OF REVIEW

A complete *de novo* review is required here because the Decision failed to consider arguments, ignored material evidence, and made errors on key issues of law and governing standards which incurably infected the subsequent consideration of the facts. *Ceres Marine Terminal, Inc. v. M.D. Port Administration*, 27 S.R.R. 1251 (F.M.C. 1997); *Rose International, Inc. v. Overseas Moving Network, International, Ltd.*, 29 S.R.R. 119, 123-24 (F.M.C. 2001); *Pet. Of S.C. State Ports Authority for Declaratory Order*, 27 S.R.R. 1137 (F.M.C. 1997). The Decision must provide a reasoning "on all material issues of fact, law, or discretion presented on the record." 5.U.S.C. §557(c)(3)(A); *FMC Rule 223* (Initial Decision must include "a Statement of Findings and Conclusions, as well as the reasons or basis therefore, upon all the material issues presented on the record.") The Decision cannot be based on speculation. Here, the Decision failed to meet these requirements.

III. EXCEPTIONS

- **Exception No. 1: The Initial Decision Erred By Using The Wrong Summary Decision Standard In Denying DFY's Motion And Granting NYK's Motion.**
 - a. **The Initial Decision Relied Upon A Pre-2010 Discretionary Standard To Deny DFY's Motion.**

The Commission follows Fed. R. Civ. P. 56 in deciding Summary Decision motions. 46 C.F.R. §502.12. Summary Judgment/Decision is appropriate where there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law, and moving parties have the initial burden of demonstrating that entitlement. *Celotex Corp. v. Catrett*, 477 U.S. 317, 323 (1986). However, Judges must view the facts in the light most favorable to the nonmoving party, giving the nonmoving party the benefit of all justifiable inferences derived from the evidence in the record. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248-249 (U.S. 1986) (*emphasis added*). The Decision erred when it did not give DFY the benefit of all justifiable inferences derived from the evidence in the record when it denied DFY's Motion and granted NYK's Motion. *Infra at 27*.

Since 2010, Rule 56 has stated that “[t]he court **shall** grant summary judgment if the movant shows that there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law.” *Fed. R. Civ. P. 56(a)*. The Decision relied incorrectly on pre-2010 case law and the prior Rule 56 to support discretion¹ **not** to grant DFY's Motion. (Decision at 5 “**D. Relevant Law**” & 1. **Motion for Summary Decision Standard**”) This was error. There is ample undisputed evidence to demonstrate that DFY is entitled to judgment on its FFC claims.

¹ The Decision's "Procedural History" notes that there had been extensive discovery; that Respondents' Amended their Verified Answer to assert a new defense 9 months service of the Verified Complaint that had never before been mentioned, ever; that the hearing might take 10 days, *etc.* But, the Decision is silent on why discretion was exercised against DFY when summary decision in DFY's favor was technically proper. Exercise of this discretion – eliminated since 2010 from Fed. R. Civ. P. 56 – goes unexplained here while requiring “the case to be developed fully at trial” by DFY. (*id.* at 5)

The Decision accurately describes that there to must be genuine factual disputes to defeat Summary decision, but it erred in not recognizing that the only disputes between the parties regarding DFY's freight forwarding activities are legal, not factual, disputes.

In holding that “[d]etermination of whether DFY performed freight forwarding services would require a factual analysis of the job duties performed by DFY’s employees” and “[a]t this stage of the proceeding, that factual analysis is premature[]”, the Decision lists “factual questions raised by the pleadings and not resolved by DFY’s motion”:

1. Whether DFY performed freight forwarding services;
2. Whether DFY “engaged, booked, secured, reserved, or contracted directly with the carrier for space aboard a vessel or confirmed the availability of the space”;
3. Whether DFY “prepared and processed the ocean bill of lading, dock receipt, or other similar document for the shipments”;
4. Whether shipments contained new assembled motor vehicles;
5. The number of shipments involved; and
6. Determination of damages.

(See *id.*). Yet, the Decision does not separate the legal issues from factual ones and is cites no evidence to show that there is any admissible evidence to show and genuine material disputes over these facts.

The Decision’s first three (3) cited “factual questions” are restatements of prerequisites for freight forwarder compensation under 46 U.S.C. §40904(a) and 46 C.F.R. §515.42(c) (or, by extension, 46 C.F.R. §515.2(h)). Whether the activities described in DFY’s Motion and supported by actual documents in the record qualify as compensable freight forwarder services defined by these regulations is a question of law: application of regulatory language to facts not genuinely in dispute.

The Decision’s fourth “factual question” is not actually relevant to DFY’s Motion; DFY need only show that the Ford shipments contained “Auto Manufacturer cargo,” not “new assembled motor

vehicles”². There is no dispute between the parties that the Ford shipments qualified as “Auto Manufacturer cargo.” The Decision’s fifth “factual question” is also not genuinely in dispute; the time period of Ford shipments in question and the particular Ford shipments that were carried on NYK’s vessels (as evidenced on the bills of lading that correspond to those shipments) for which DFY is seeking freight forwarder compensation are clear. (Tariff 156, *DFY’s MSD and CX “A”-“HH” & CX I-12, Statement of Material Facts*, ¶¶29- 56; *NYK’s Opposition to DFY’s Proposed Findings of fact on Its Motion for Summary Judgment*, ¶¶29- 56 and *DFY’s Opposition to NYK’s MSD*). The last “factual question”, “determination of damages” requires only applying the FFC rate of 1.25% on the gross freight of Ford shipments moved on NYK’s vessels during the agree-upon time period. If there is doubt from the record of the case as to the last two “factual questions,” the Decision should have entered judgment holding the other four “factual questions” as established. *Fed. R. Civ. P. 56(g)*.

- **DFY Performed Freight Forwarder Activities - Undisputed**

There is no genuine dispute as to what particular activities DFY performed on Ford shipments transported on NYK’s vessels. Rather, all parties agree what they are and that they are all freight forwarding activities. Even the Decision, at 13 under “**A. Arguments of the Parties**” doesn’t attempt to include that question as part of the genuine material issue dispute.

- **DFY Performed the Actions Required by 46 CFR §515.42 – Undisputed.**

The only question here is whether they qualify for FFC under 46 CFR §515.42. Simple review of the evidence demonstrates that they do. §515.42 is written in the alternative – here, the words are meaningful. DFY must have “**Engaged, booked, secured, reserved, or contracted directly with the**

² As explained, *infra*, the Decision’s holding that the record of the case still raises a factual question as to whether the Ford shipments on Respondent’s vessels qualified as “new assembled motor vehicles” as described in 46 C.F.R. §§ 530.3(m) and 530.13(a) is actually grounds for denial of Respondent’s Motion.

carrier or its agent for space aboard a vessel or confirmed the availability of that space; and Prepared and processed the ocean bill of lading, dock receipt, or other similar document with respect to the shipment.

515.42 (c) does not require DFY to do each and every one of these actions – just actions from (1) and (2). The Decision erred in not concluding that at the very least, DFY booked, secured, reserved or contracted directly with the carrier for space; or confirmed the availability of that space – and – prepared and processed the bill of lading, dock receipt or related documents for that shipment. (Tariff 156, *DFY's MSD and CX "A" - "HH" & CX 1-12, Statement of Material Facts*, ¶¶29- 56; *NYK's Opposition to DFY's Proposed Findings of fact on Its Motion for Summary Judgment*, ¶¶29- 56 and *DFY's Opposition to NYK's MSD*).

- **Ford, The Shipper, Admits That DFY Satisfied 46 CFR §515.42 (c) On Every Shipment.**

Steve Emmons was Ford's representative proffered to speak on the FFC services that DFY provided in shipping Ford vehicles on NYK vessels. He responded to NYK's subpoena with documentary evidence showing that that DFY performed each action required by 46 CFR §515.42(c) on every Ford vehicle shipment. (*CX "D" and Judge Guthridge's subpoena to Ford, FMC record*)

Emmons, as Fords representative, advised that DFY books the cargo on board the vessels and confirms the availability of that space on every shipment. (*CX "D" 119:16 – 22*).

Ford, through Emmons, confirms that when DFY confirms that NYK space allocation, they secure, reserve and contract NYK directly to make sure that space is available. DFY also prepares and processes the bills of lading and dock receipts. (*CX "D" 119:23 – 25/120:1 – 6*).

Ford, through Emmons, confirmed that DFY's booking actually secures the space directly with NYK. (CX "D" 120:7 – 11). Ford, through Emmons confirmed that DFY prepares the 304³ that they send to book the cargo space on board NYK vessels. That "304" information is then sent back to DFY by NYK as a "310". DFY – who created this information, then uses the information that NYK sends back confirms to DFY that the space is being used, to prepare and process the bill of lading. (CX "D" 120:12 – 25)

Ford, through Emmons, demonstrates the absurdity of NYK's defenses, i.e., that the only service provided by DFY was to remotely print out a bill of lading. Indeed: "Q: Is that accurate, sir? A: No." (CX "D" 125:12 – 20) Ford/Emmons advised that Ford could not ship their vehicles on NYK vessels if DFY did not provide the freight forwarder services to book those vehicles onto NYK's vessels. (CX "D" 126:18 – 25).

- **DFY has Performed 46 CFR §515.42 (c) Services For Every Ford Vehicle Shipped On NYK Vessels Since March 15, 2015 – Undisputed.**

There is also no dispute that DFY performed these activities on every shipment since March 25, 2015. The Decision, erred as a matter of fact, on that point.

NYK served the Commission's subpoena⁴ on Ford seeking:

"[A]ll documents with respect to the shipments during the period March 1, 2015 to the present:

- (1) indicating the engaging, booking, securing, reserving, or contracting directly with NYK Line or its agent for space aboard a vessel owned or operated by NYK Line or confirming the availability of that space; and/or
- (2) indicating the preparing and/or processing of any ocean bills of lading, or other similar documents with respect to any of the shipments. (*Subpoena Issued by Judge Guthridge, FMC record*)

³ The original bookings.

⁴ See, August 18, 2016 Subpoena issued by The Hon. Clay G. Guthridge, "SCHEDULE OF DOCUMENTS TO BE PRODUCED", "Requested Production" and Ford production. (*FMC record*)

In response, Ford, through Emmons, produced materials documenting every Ford's vehicle shipment on NYK vessels. Ford, through Emmons, testified that every one of those shipments "are indicative of D.F. Young doing these [46 CFR §515.42 (c)] activities" on every Ford shipment since March 15, 2015.

Contrariwise, NYK proffers no evidence to contradict DFY and Ford's evidence that DFY performed the required 46 CFR §515.42(c) freight forwarding services for every Ford vehicle shipped on NYK vessels since March 15, 2015.

- **NYK Proffers No Direct Admissible Evidence – NYK Simply Disagrees That They Owe FFC To DFY.**

NYK, speaking pursuant to *Fed. R. Civ. P. 30 (b)(6)* through their Corporate Designee, John Grbic, provided no evidence to contradict Ford/Emmons or DFY's assertions about their Freight Forwarding actions – because NYK doesn't know what DFY does! NYK/Grbic simply disagrees that FFC should be paid.

Mr. Grbic's testimony binds NYK on their defenses to this claim, the tariffs in effect from March 1, 2015, NYK policies are for investigating FFC claims, policies regarding the preparation, processing and issuance of bills of lading, policies regarding the booking, securing and/or reserving space, and services provided by DFY on all shipments of Ford products from March 1, 2015 to the present as well the bills of lading or other transport documents related to shipment of Ford products from March 1, 2015 to the present. (CX "H").

Mr. Grbic assumed the job of determining whether persons or entities performed freight forwarder activity "sometime in 2015". (CX "H" 42:11 – 22).

When asked to describe every activity he engaged in to deal with the analysis of freight forwarding activity in the summer of 2015, he first identified all of the freight forwarders. (CX "H" 45:12 – 20). With respect to DFY, he decided that because in the NYK/Ford service contract DFY does not reserve or secure space with NYK on any vessel or voyage or Port-pairs; because DFY did not select NYK as a carrier and that all that DFY does is remotely print Bills of Lading, he didn't think that FFC was warranted⁵ (CX "H" at 53-54). In addition, Grbic/NYK admits that it is not the sequence of contacts – in time - for space that they will pay FFC on. Rather, FFC depends on just what the "process" is and who's performing that function.

NYK/Grbic will pay FFC if "a freight forwarder is in the process of securing space on behalf of the shipper with the carriers", "performing shipping instructions – to the carrier" and "preparing bills of lading." (CX "H" 71:17 – 25/72:1 – 16) In fact, this is the sum and substance of freight forwarding activity, in NYK/Grbic's mind (CX "H" 72:13 – 16). These are all activities that DFY performs. NYK doesn't know that this is so because they do not know what DFY does or does not do.

With regard to bills of lading, bill of lading information is on a 304 – EDI information. (CX "H" 109:2 – 9) the shipping instructions gets turned into a bill of lading. (CX "H" 109:14 – 17) the content of the EDI, or cargo documentation is used to create the bill of lading – that is a 304 transmission. (CX "H" 112:5 – 15). DFY performs this.

NYK/Grbic posits that these shipping instructions in the 304 are received from Ford, but only because they are received from the Ford EDI system. NYK/Grbic does not know one way or the other whether or not D.F. Young sends that information through Ford's EDI system to NYK. (CX "H" 119:1

⁵ Not surprisingly, NYK/Grbic didn't locate any freight forwarder justifying payments from NYK during his investigation. (CX "H" 73:21 – 25/74:1 – 2)

– 18) on the other hand, Ford/Emmons is certain that DFY provides the 304's in order to book, secure and reserve space on the vessel. In fact, NYK/Grbic does not know what DFY does inside Ford's EDI system. (CX “H” 119:19 – 25/120:1 – 10). NYK/Grbic also cannot identify exactly what DFY does with that information in the 304 and NYK/Grbic has no personal knowledge of what DFY does with the 304 message that it sends to NYK (CX “H” 120:11 – 25/121:1 – 23).

The data on the 304 ultimately needs to have onboard dates, rates, port pairs, shipper, consignee, VIN numbers entered into it and returned for the Ford EDI system as a 310. That 310 always needs to be audited. NYK does not do that, somebody else does. (CX “H” 127 – 129). According to Ford and DFY, DFY does that activity. According to NYK/Grbic, that is pretty much preparing and processing the bill of lading (CX “H” 128:2 – 15).

NYK/Grbic calls the auditing “check for errors” (CX”H” 130:1 – 12) but everything in the 304 is essentially contained in the 310. If there is something else, NYK/Grbic is not clear on it. (CX”H” 130:13 – 19) and NYK/Grbic does not know who was using the Ford system to create and send the 304 (CX”H” 131:1 – 24). In fact, he has never seen the booking, securing, reserving or confirming space process for any Ford vehicle shipment. (CX “H” 131:25/132:1 – 5).

NYK/Grbic admit that they have no personal knowledge as to what DFY does in the shipping process, their actual activities or their actual responsibilities with respect to Ford. (CX “H” 132:20 – 25/133:1 – 13 “specifically, no”).

NYK/Grbic conducted no visual observations of DFY's actions with regard to the Ford vehicle shipments that would provide him or NYK with a foundation upon which to challenge DFY's claims. Thus, NYK doesn't know what DFY “was or was not doing that would entitle them to freight

forwarding compensation”. (CX “H” 134:14 – 25/135:1 – 8) NYK/Grbic never contacted DFY and never had any curiosity or concern as to what DFY’s actions might be. (CX “H” 136:7 – 13).

NYK/Grbic knew at the outset of this case that DFY was seeking freight forwarding compensation on the Ford shipments. (CX “H” 141:17 – 22). It was NYK/Grbic’s understanding that DFY was not entitled to FFC because the prior freight forwarder did not get paid. (CX “H” 142:3 – 13). Yet, NYK/Grbic agree that they don’t know what activities the prior freight forwarder – Schenker – performed on behalf of forwarder NYK and never made any investigation to find out exactly what Schenker was doing either. (CX “H” 152:7 – 14); and NYK/Grbic cannot validate exactly what DFY is doing either. (CX “H” 151:13 – 24). NYK/Grbic agrees that they do not know whether DFY reserved, booked, engaged or secured any space on NYK vessels. (CX “H” 157:1 – 23). Yet, Ford advises that this is exactly what DFY does. Of course, NYK/Grbic never checked with anybody at Ford to find out what DFY was doing for Ford. (CX “H” 158:4 – 9) NYK/Grbic also do not know what DFY is doing in the Ford EDI system. (CX “H” 232:231:23 – 25/232:1 – 9).

NYK/Grbic agrees that sending 304s is freight forwarding activity; process and preparing of the bills of lading is freight forwarding activity. Auditing and processing the 310 message is freight forwarding activity and that inserting missing data into the bill of lading and processing that part of the bill of lading is freight forwarding activity. (CX “H” 217 – 220)

The service contract between NYK and Ford is confidential, not published anywhere and NYK/Grbic agrees that DFY could not have knowledge of, or access to that contract. (CX “H” 225:1 – 8). At best, NYK/Grbic made a mistake on their approach to the evidence in this case. And the only notice ever given to DFY that they would not be entitled to FFC is a February 27, (CX “D” 11) email

from NYK describing the services – which NYK did not know what services and still does not know what services DFY provides – were not freight forwarder services. (CX “H” 268:16 – 23

- **All Witness Testimony Demonstrates DFY’s Satisfaction Of 46 CFR §515.42(C).**

- **Sharon Parcha .**

Ms. Parcha works for Wallenius Wilhemson as a traffic coordinator. (CX “O” 10:21 – 25).

Parcha receives a final booking log with the VIN information of all vehicles to be shipped on NYK vessels from DFY. (CX “O” 31:25/32:1 – 11). DFY provides this list after DFY books the cargo and sends it through Ford’s EDI system. (CX “O” 32:16 – 20). Parcha provides information directly to D.F. Young as part of her job satisfying her company's contractual relations with Ford. Her understanding is limited because she doesn’t actually know what the scope of her employer’s contractual role is in this process. (CX “O” 32:21 – 25/33:1 – 12). While Parcha lacks the required foundation to offer opinions as to exactly what role she or her employer Willenius actually performs, she is certain that she gets the booking information from DFY. (CX “O” 36:18 – 20). The rest of the information that she acquires concerning forecasts are from Ford (CX “O” 37:1 – 2). Ms. Parcha does not offer anything to undermine DFY's claim of booking, securing, reserving and ultimately confirming space aboard NYK vessels.

- **Linda Ferguson**

Linda Ferguson was a documentation manager at Wallenius. She provides DFY with all the information that DFY would need to ship Ford vehicles on NYK vessels. (CX “G” 17:9 – 25/18:1 – 5). Ferguson makes sure the DFY has everything they need to prepare documentation and book the vehicles on board NYK vessels. (CX “G” 23:2 – 15). In essence, Wallenius works in support of DFY and performs their forecasting for DFY, not Ford. (CX “G” 33:15 – 23). DFY prepares and processes the

300's, 304's and 310's to NYK that reserves the space, books the actual vehicles into that space (not conceptual vehicles, but real ones). (CX "G" 42:9 – 25/43:1 – 2). DFY can even make a booking before they get a forecast. (CX "G" 44:15 – 20). DFY creates each load for each vessel for voyage in the Ford's system and that data is then generated by DFY to NYK. (CX "G" 50:2 – 6). DFY updates the VIN's, creates the voyage, assign the VIN to a vessel and then DFY book the vehicle onto the vessel. (CX "G" 50:7 – 16). The provision of the VIN's in the booking then confirms the space. (CX "G" 70). Without DFY's efforts, Fords vehicles cannot travel on NYK vessels. (CX "G" 63:1 – 25/64:1 – 8).

When space is short on an NYK vessel; or if there is too much, DFY fills it or moves overflow to other NYK vessels. (CX "G" 66/67).

DFY also creates the bookings (300's and 304's - shipping instructions) that then permits DFY to process the bills of lading so that the freight on the bills of lading can be paid to NYK. (CX "G" 73/74). If DFY did not provide these services, NYK would have to do it themselves. (CX "G" 74 – 78). Without DFY's booking actions, the space described by NYK is never used – and NYK would never be paid for any freight.

- **Darlene Schwark**

Ms. Schwark audits, processes and prepares the bill of lading with information provided from NYK. After she corrects the freight rate – and every freight rate from NYK is incorrect – she arranges payment for NYK. (CX "J" 20 – 21 & 15 – 16).

- **Stacy Southards Declaration Is Irrelevant, Contradicts NYK's Corporate Admissions And Lacks Foundation. It Does Not Create A Genuine Issue Of Material Fact.**

NYK provides a Declaration from a Stacy Southard that must be disregarded as it contradicts the testimony of NYK's designee and lacks foundation.

Stacy Southard is a lay witness opinion. Lay witness opinion testimony is limited to what the witness can perceive with his or her senses. *Fed. R. Evid. 701*. None of her conclusions are based on actual observation, or what might be perceived by her senses of touch, taste, smell, hearing or observation. To the extent her Declaration it is based on some scientific, technical or other specialized knowledge within the scope of *Fed. R. Evid. 702*, it lacks a foundation.

According to Southard's declaration, she is "fully familiar with the carrier documentation created by NYK in regard to shipping new manufactured motor vehicles from the United States to foreign destination, and I am likewise familiar with the documentation, both hard copy and EDI, which shippers either directly or through their forwarders, provide to NYK in the usual course of business." She is a "Customer Service and Documentation Manager of NYK". Ms. Southard proffers no basis for an opinion on what an EDI message does or does not do. The basis for her conclusions about how EDI systems work, and what effect those systems have is simply not demonstrated by the proffered foundation as a "Customer Service and Documentation Manager." For example, McDonalds employees are fully familiar with the frying of a hamburger, the right temperature and how it should look, but without any further foundation, their opinions and conclusions about how the circulatory or digestive tracts of a cow works are not admissible.

Ford, DFY and Wallenius all agree that without DFY's efforts in securing, booking confirming the space, preparing and issuing 300 and 304 messages, no Ford vehicle could be shipped on board any NYK vessel and the space for that specific vehicle could not be confirmed or filled by that specific vehicle. Ms. Southard's opinions on behalf of her employer are admirable, but they are based on hearsay, not personal observation, and her opinions lack an appropriate foundation. *Fed. R. Civ. P. 56* requires admissible evidence in order to defeat a DFY's MSD.

The only actual dispute between the parties about these activities is whether they qualify for compensation according to the language of 46 U.S.C. §40904 and 46 C.F.R. §515.42(c) (as referenced by implication in the Tariff). NYK does not affirmatively deny that DFY carries out the specific activities it describes in DFY's Motion (See, e.g., *DFY's MSD, NYK/DFY POA, CX "A" through "HH" and DFY's Proposed Findings of Fact*).

In fact, NYK claims to not even know at this late date what activities DFY even performs on Ford shipments. (See e.g., *DFY's Motion, Statement of Material Facts*, ¶¶42, 50, 80-82; *NYK's Opposition to DFY's Proposed Findings of fact on Its Motion for Summary Judgment*, ¶¶42, 50, 80-82).

The entire basis for NYK's defense that DFY only remotely printed bills of lading was NYK's mistaken belief that Electronic Data Interchange ("EDI") messages were transmitted through Ford's proprietary "GLADS" system and emails sent to and from DFY's employees used Ford email addresses. (See *id.*, ¶¶80, 83). NYK now argues that DFY's actions do not constitute "engaging," "booking," "securing," "reserving," "contracting directly with the carrier for space aboard a vessel," "confirming the availability of the space," or "preparing and processing the ocean bills of lading". 46 U.S.C. §40904(a); 46 C.F.R. §515.42(c). (See e.g. *NYK's Opposition to DFY's Motion for Summary Judgment*, ¶¶31-55). Even in these arguments, NYK relies on flat denials with no reference to actual admissible record evidence to support their opposition. *id.*, ¶¶39-55, 81-83).

- **Exception No. 2: The Decision Erred As A Matter Of Law And Fact In Determining That NYKS Tariff 156 Did Not Apply Because Ford And NYK Had A Secret/Confidential Service Contract.**
- **Each Bill Of Lading Specifically Incorporates The Tariff. The Power Of Attorney Between NYK And DFY Specifically Incorporates The Bill of Lading Terms.**

NYK has contractually agreed that NYKS Tariff-156 and Rule 9 apply here. All NYK Bills of Lading prepared and processed by DFY specifically provide that:

(Carrier's Tariff) The terms of the Carrier's applicable tariff are deemed to be incorporated herein. Copies of the relevant provisions of the applicable tariff are obtainable from the Carrier upon request. In a case of inconsistency between this Bill of Lading and the applicable tariff, this Bill of Lading shall prevail. (*NYKS-Tariff-156, NYKS 54975 and NYK Bill of Lading terms; DFY's Rule 230(d) Motion*)

These terms are specifically incorporated into NYK's Long Form and Short Form Bills of Lading prepared and processed by DFY on NYK's behalf. (*Tariff 156, CX "A", "P" and "X", NYKS 54975 and NYK Bill of Lading terms; DFY's Rule 230(d) Motion*).

The Power of Attorney executed by NYK and DFY provides:

4. Bill of Lading Forms. For the Ford shipments identified above, forwarding agent shall, in accordance with the instructions and directions provided by Carrier, use the Bill of Lading data to print and issue Bills of Lading on forms to be supplied by forwarding agent. It shall be the responsibility of forwarding agent effectively to incorporate by reference into all Bills of Lading issued hereunder the terms and conditions of Carriers right of regular form Bill of Lading, a copy of which is attached as "Exhibit A." Carrier, forwarding agent and Ford agree that the terms and conditions of Carriers regular form Bill of Lading shall apply to all shipments hereunder...." (*CX "W" at 3*)(emphasis added)

Not only do NYK Bills of Lading specifically incorporate NYK's tariff – in this case Tariff – 156 and Rule 9, but NYK agreed with DFY “that the terms and condition of Carrier's regular form bill of lading shall apply to all shipments hereunder.” There is no dispute here. The parties agreed that the tariff applied and now it must be enforced.

NYK's Short Form Bill of Lading terms also require that:

All agreements with respect to the above goods are superseded hereby and none of the terms hereof shall be deemed waive except in writing by an authorized agent of the carrier. (*CX "P"*)

Any contrary agreements – in this case, that the tariff **does not** apply or is not incorporated herein - are “superseded” by the terms of NYK's Short Form and Long Form Bills of Lading prepared and processed by DFY pursuant to the NYK/DFY Power of Attorney. (*CX "A", "P" & "X"*)

- **Exception No. 3. The Decision Erred When It Determined That NYKS Tariff 156 Did Not Apply.**

The Decision holds that the “tariff, by its express provisions, did not apply.” (*Id.* at 20). There is no factual or legal basis for this conclusion. DFY has always asserted that the tariff applied in DFY MSD filings. DFY specifically asserted that the term “tariff rate” was not applicable. (*DFY’s MSD filings, including it’s opposition to NYK’s MSD at paras. 1, 2, 5, 9, 10 & 12 -citing NYK’s bad faith failure to honor Tariff 156 and Rule 9.*)

The Decision concludes that “the parties agree about the language of the tariff; however, they disagree about the legal conclusions to be drawn from the tariffs language”. Yet, the Decision relates “the tariff at issue here states that ‘compensation which is paid under this will shall be on the gross freight. The gross freight includes the tariff rate **and** Heavy Lift **and** Extra Length charges, if applicable [. SIC]. .’” (*Id.* at. 21)(**emphasis added**).

Oddly, the Decision locates an ambiguity. Then, after identifying the ambiguity, the ambiguity is interpreted in favor of NYK, the carrier that developed it, and against DFY, a member of the shipping public. This type of interpretation is contrary to the established role of the court and Commission, is clear error, and it alone requires reversal of the Decision.

- **Exception No. 4: The Decision Erred in Determining that the Tariff Only Applied to “Tariff Rate[s]” and by Unreasonably Interpreting Tariff 156 and Rule 9 to Eliminate Freight Forwarding Compensation. (Id. At 20-22)**

DFY submits that Tariff-156 and Rule 9 simply provides for 1.25% FFC on shipments of automobiles on NYK vessels. There is no reasonable or logical alternative view.

Recognizing that “tariff provisions should be construed reasonably, and without a strained or unnatural construction”; *id.* At 21. (quoting *S.A. Chiarella v. Pacon Express Inc.*, 29 S.R.R. 335, 337 (FMC Aug. 15, 2001)); and that “tariff interpretation is governed by the ‘express language’ of the tariff,

not the ‘unexpressed intent’ of the author, the Decision advises that “if the tariff [is] ambiguous in any sense, a tariff’s ambiguity should be construed against the carrier which developed it, not against the carrier’s customer.” *id.* The Decision did the opposite.

The Decision incorrectly interpreted the first two sentences in Rule 9 of the NYKS-156 Tariff related to calculation of freight forwarder compensation. Those two statements read:

The compensation which is paid under this rule shall be on the gross freight. The gross freight includes the tariff rate **and** Heavy Lift **and** Extra Length Charges, **if applicable**, but shall not, **for the purpose of computing compensation**, include charges assessed for containerization of cargo, container rental fee, war risk compensation, port surcharges, port detention charges, demurrage, bunker surcharges, port arbitraries, harbor dues or any other charge or surcharge designated to cover specific costs. (**emphasis added**)

(See *id.* at p. 21) (*citing* RX 26).

The Decision abused its discretion and incorrectly concluded that the term “if applicable” “only refers to heavy lift and extra length charges, which are by their nature conditional, not the tariff rate.” *id.* At 22. That conclusion is demonstrably wrong.

According to Tariff 156, the terms “tariff rate”, “Heavy Lift” and, “Extra Length charges” are separate terms set forth in the Tariff. Joined by the conjunction “and⁶”, all three separate terms in this series are equally modified by the term “if applicable”.

According to Tariff 156, none of these three terms, and their potential rates or charges “Appl[y]”. (*Tariff 156, NYKS 54886, DfY’s Rule 230 Motion, FMC Rule 161*)

⁶ and,(ə)n/: *conjunction*

and 1. used to connect words of the same part of speech, clauses, or sentences that are to be taken jointly. Google Definition

These three terms are thus not “**applicable**”. And, given that this sentence only adds “**applicable**” considerations that could modify what might be “**include[d]**” in the “**gross freight**” “**for the purpose of computing compensation**”, none of the three are relevant to our inquiry here.

NYK has no tariff rate for this cargo. That is why the “tariff rate is not “[**applicable**”. (*CX “H” 92-93*).

Nothing is more “conditional” than a Tariff rate that both doesn’t apply and doesn’t exist. According to the Tariff, the “tariff rate” does not apply.

Moreover, Tariff 156 itself identifies that none of these 3 terms are “applicable”. Since they are inapplicable, they cannot be included in the “gross freight” measure for FFC set forth in Rule 9 and cannot logically or factually limit the applicability of Tariff 156 or FFC to service contract shipments. The only reasonable interpretation of those 2 sentences is that FFC will be measured by “gross freight”. Gross Freight means just that: “gross freight”. The second portion of that sentence is not, by it’s own terms, “applicable.

Conversely, there is no mention of a service contract rate. And there is no mention that there are any other limitations on the way FFC is measured. The only reasonable interpretation that could be made by the shipping public is that NYK will pay FFC of 1.25% on the “gross freight” related to new manufactured automobiles.

The ambiguity of this Rule and Tariff, and the resultant confusion caused to DFY by NYK’s own language was exacerbated NYK’s own non-responsive conduct in this case. When DFY asked NYK on 3 separate pre-suit occasions - September 24, 2015; December 22, 2015 & January 12, 2016 - if they

would honor their Applicable Tariff; NYK never responded. (CX “CC”)⁷ Instead, NYK stayed silent. Realistically, what further effective communications could be made? Repeated requests? DFY did that when it sent 3 successive FFC demands to NYK and was met with silence.

DFY suggests that the reason for the “[in]applicable” “tariff rate” is that NYK knew that “all Auto manufacturers cargo” were subject to service contracts, so that a tariff rate was unnecessary. NYK intended the FFC Rule to apply to service contracts – that was all that was out there! NYK still proffered Rule 9 FFC based on “gross freight”. Really, NYK’s new “The tariff doesn’t apply to service contract shipments” claim is a retrospective one. NYK knows better.

Based on NYK’s own Tariff & Rule language, Tariff 156 was applicable and Rule 9 advised that compensation would be paid on 1.25% of the “gross freight”. These facts demand that this inference be drawn in favor of DFY and not the tortured interpretation in favor of NYK, the tariff’s author.

Next, the Decision wrongly interprets these sentences to mean that the “gross freight” described here limits compensation payments to shipments on which freight has been paid at tariff rates, because “the tariff would not apply to service contract shipments where there is no ‘tariff rate.’” *id.* That interpretation has no basis in fact or law. If correct, then a carrier silence in its tariff; silence in response to written requests or lawsuits now can be interpreted to mean whatever that carrier can come up with 18 months after the first written request; 9-11 months after 3 documented written demands; 8 months after service of a Verified Complaint; and 6 months after the carrier’s Verified Answer is filed (yet still silent on the issue). That is an absurd result.

⁷ Indeed, on December 22, 2015, DFY’s counsel asked NYK: “Anent our recent conversation concerning NYK’s obligations here, I haven’t received anything that would pose any legitimate avoidance of these obligations. If you have something . . . anything, please send it on over. I look forward to hearing from you.” *Id.*

Contrariwise, there is no language in Rule 9 that implies that the payment of freight forwarder compensation is conditioned on there being no service contracts or on incorporating the terms of the service contract into the tariff, which is how the decision ruled. The description of “gross freight” as “includ[ing] the tariff rate **and** Heavy Lift **and** Extra Length Charges, if applicable” (**emphasis added**) very clearly is for “the purpose of computing compensation.” (*RX 26*).

Rule 9 does not state that freight forwarder compensation will only be paid on cargo shipped without a service contract or that it will be computed by using any other term. NYK could have drafted Rule 9 that way or amended it to reflect such an intent at any time, but it chose not to do so. NYK could have also referred to the NYK/Ford service contracts, as it has referred to other service contracts in other tariffs, but chose not to. (*CX “HH” NYKS Tariff 199 stating that FFC is “Applicable as provided in individual Service Contracts”*)

The most reasonable interpretation of this provision of Rule 9 is that FFC will be measured on “gross freight” which may be modified by applicable terms, not that compensation is limited “to shipments on which tariff rates have been paid.” *Id.* If there is an ambiguity regarding the meaning of this language, it must be construed against NYK as the drafter of the Tariff. The Decision casts this construction aside in order to have the tariff comport with its preconceived belief that service contracts automatically deactivate tariffs as to all aspects of shipments unless otherwise provided.

Next, the phrase “The gross freight **includes** the tariff rate **and** Heavy Lift **and** Extra Length Charges, if applicable . . .” (**emphasis added**) is not a definition of “gross freight”. Rather, it is a permissive phrase using the word “includes”, not the phrase “is defined as”.

The Decision ignored the clear, concise tariff term “[t]he compensation which is paid under this rule shall be on the gross freight.” And instead held that the next sentence “[t]he gross freight

includes...” was a “definition” of “gross freight”. The decision abused judicial discretion and erred as a matter of law to change the term of the tariff, i.e., removing the term “includes” and substituted the term “defined as” in order to interpret the tariff in favor of NYK. There is no legal or factual basis for this change. This change again draws inferences from the facts in favor of the moving party.

- **Exception No. 5: The Decision Erred As A Matter Of Law When It Sought To Define The Term “Gross Freight” In A Manner At Odds With More Than A Century Of Universal Industry Acceptance.**

The term “gross freight” is not a term that needs definition. If there is any term in NYK’s Tariff or Rule that no one has any doubt about, it is the term “gross freight”.

First, “freight” in maritime law and commercial parlance, never refers to the goods carried, but rather to the compensation which the ship owner is to receive for carrying the goods. **Gilmore & Black, *The Law of Admiralty*, 2nd Ed. Chapter V.** The term “gross freight” is one that has been universally recognized in admiralty and maritime law for centuries.⁸ Everyone knows exactly what it is when it is

⁸ See, e.g. *The “Potomac”*, 105 U.S. 630 (May 8, 1882) (“When there is a market price for such use, that price is the test of the sum to be recovered. When there is no market price evidence of the profits that she would have earned if not disabled is competent; but from the gross freight must be deducted so much as would in ordinary cases be dispersed on account of her expenses in earning it; in no event can more than the net profits be covered by way of damages.”); *New York and Cuba Mail S.S. Co. v. Royal Exchange Assurance*, 154 F.315 (Cir. 2. 1907) (In action seeking to recover damages for lost freight, “the court concluded that the parties intended as the valued subject the insurance the freight at appellant’s risk, and not the gross freight, in which appellant might have only a fractional interest.” Mentioning that “the policy insureds freight on board, or not on board”. These words may mean the gross freight, or they may mean the freight at risk.”... “we think they intended as the valued subject of insurance the freight at the libellants risk, and not the gross freight, in which the libellant might have only a fractional interest.”); *The Young America*, 30 F. 789 (S.D.N.Y. 1887) (discussing, without defining, the term “gross freight” referred to under the statute of limited liability of George III.); *The Baltimore*, 75 U.S. 377 (U.S. 1869) identifying “gross freight” as the appropriate measure of damages in a vessel loss.); *Butler v. Boston and Savannah S.S. Co.*, 130 U.S. 527 (U.S. 1889) (identifying “gross freight” pending as the proper measure used in valuing limitation fund in the limitation of liability proceeding.); *Vumbria*, 166 U.S. 404 (U.S. 1897) (discussing cases in which the “gross freight” would be a measure of damages, without defining what that was.); *Texas Transport and Terminal Code. v. New Orleans*, 246 U.S. at 150 (U.S. 1924) (identifying “gross freight” as the basis upon which a taxable compensation can be measured on a steamship line.); *Todd Shipyards Corp. v. The City of Athens*, 80 3F. Supp. 67 (Dist. Md. 1949); *The Eliza Lines* 60 1F. 308 (D. Mass. 1894)(identifying “gross freight” without qualification, definition or any other description, as an appropriate measure of damages.); See also, more recently, *Navieros Inter-Americanos, S.A. v. M/V Vasilisa Express*, 120 F. 3d, 304 (1 St. Cir. 1997); (“gross freight” as a measure of damages, without qualification, explanation, etc.); *The Hope and Freddie L. Porter*, 5 F. 822 (Dist. Maine 1880) (gross freight and net freight discussed as measure of damages.); *Great Lakes*

written in a tariff. It needs no modification; and warrants nothing to describe what it might include. The Decision erred as a matter of fact and law when it interpreted the terms of Tariff 156 and Rule 9⁹ otherwise. Without resorting to strained or unreasonable interpretation, it is entirely reasonable – and in this case most likely – that a review of NYK's Tariff 156 and its Rule 9 would lead to the inescapable conclusion that a tariff published without a “tariff rate” would promise freight forwarding compensation at 1.25% of the “gross freight”.

This conclusion is supported by the fact that all of the Bills of Lading prepared and issued by DFY on NYK’s behalf specifically incorporate NYK’s tariffs and that the NYK/DFY POA incorporated those terms as well. Changing those terms would require NYK’s written agreement – and that has not been given. That was the reason that NYK’s demanded that DFY waive FFC here.

The Tariff-156 (*CX “A”, NYK 54886 and DFY Rule 230 Motion*) identifies that the “application of rates and charges” (the “tariff rate”) does not “appl[y]. This inherent ambiguity is compounded by the lack of any “tariff rate” that could possibly modify that the universally understood and accepted definition of “gross freight” in the admiralty and maritime community.

The Decision’s contrary interpretation has no factual or legal basis. The only reasonable interpretation is that Tariff 156 and Rule 9 have no applicable “tariff rate” to modify “gross freight” as the measure of FFC. *See, EPG Giacona v. Marubeni Oceano, (Panama) Corp.*, 620 3 F. Supp. 1560 (S.D. Tx. 1985) (interpreting tariff ambiguity in favor of the shipping public. The ambiguity was

Business Trust v. M/T Orange Sun, 855 F. Supp. 2d 131 (S.D.N.Y. 2012) (“gross freight” measure of damages for vessel loss.); *Laurin Tankers AM., Inc. v. Stolt, Inc.*, 306 F. Supp. 2d 645 (S. D. N.Y 1999).

⁹ The Commission can take judicial notice of NYKS Tariff – 156 and its contents. *See, e.g.*, §502.226. NYK and DFY agree that the excerpts from Tariff 156 and Rule 9 are genuine, accurate and in effect at all relevant times. *See also, Rule 161 and DFY’s Rule 230 Motion.*

Similarly, the Bills of Lading prepared, processed and issued by DFY for NYK have already been introduced into evidence and are agreed by the parties to be the subject Bill of Lading terms at issue here.

compounded by contradictory information contained in the tariff.); *Gilbert Imported Hardwoods, Inc. v. 245 Packages of Guatambu Squares*, 508 F. 2d 1116, 1120 (5th Cir. 1975) *Mediterranean Shipping Company v. Best Tire Recycling, Inc.*, 215 U.S. Dist. Lexis 149793 (D.P.R. 2015)(Binding the carrier to its published tariff). With no applicable “tariff rate” the tariff applies and the Decision must be reversed.

- **Exception No. 6: The Decision Erroneously Determined That NYK, Despite Voluntarily Publishing A Tariff On An Exempt Cargo, Was Permitted To Violate 46 CFR §520.13(C)(1), Requiring Adherence To That Tariff.**

Ocean freight forwarder tariffs are governed by the Shipping Act of 1984 as amended by the *Ocean Shipping Reform Act of 1998*, 46 U.S.C. §§40101, *et seq.*, (“the Shipping Act”) and 46 CFR §§520.1, *et seq.* 46 U.S.C. Section 40501(a)(1) provides:

Each common carrier and conference shall keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established.

§40501(b)(3) provides that “[a] tariff under subsection (a) shall ... state the level of compensation, if any, of any ocean freight forwarder by carrier or conference; ...”

The Federal Maritime Commission promulgates Shipping Act regulations to, *inter alia*, “ensure that carrier tariff publications are accurate and accessible and to protect the public from violations by carriers of section 10 of the Act,” and to allow the Commission to review and monitor the activities of controlled carriers pursuant to section 9 of the Act. 46 CFR §520.1(b)(3)-(4). The Commission requires that published tariffs “[s]tate the level of ocean transportation intermediary, as defined by section 3(17)(A) of the Act, compensation, if any, to be paid by a carrier or conference.” 46 CFR §520.4(a)(3).

Although shipments of “bulk cargo, forest products, recycled metal scrap, new assembled motor vehicles, waste paper and paper waste,” are excepted from this section, the Commission requires that “[c]arriers or conferences which voluntarily publish tariff provisions covering otherwise exempt

transportation thereby subject themselves to the requirements of this part, including the requirement to adhere to the tariff provisions.” 46 CFR §520.13(c)(1). Because NYK voluntarily published NYKS Tariff -156 including Rule 9, NYK must “adhere to the tariff provisions”. The Decision erred when it ignored this requirement and, in addition, determined that the tariff was inapplicable to DFY’s claim for FFC.

- **Exception No. 7: The Decision Erroneously Reversed The Burden Of Proof On NYK’s Affirmative Defense And Determined That The Existence Of Service Contracts Between NYK And A Shipper Absolve NYK Of Its Obligations To Adhere To NYK’s Own Voluntary Tariff Provisions Related To Third-Parties.**

The Decision held that DFY was not entitled to FFC from NYK, as a matter of law, because “the shipments at issue were not transported under the tariff but rather under the service contracts,” and “DFY has not established as a matter of law that the tariff applied to these service contract shipments.” (See *Id.* at 15, 27). In so stating, the Decision reversed the burden of proof from NYK who asserted the Affirmative defense of a service contract – to DFY, who now had to show that the Tariff applied to “these service contract shipments.” *Id.*

DFY should have only had to show that the Tariff applied to these shipments, not “these service contract shipments”. The service contract is between Ford and NYK. No one claims – and the decision did not hold – that Ford or NYK could ever contract away DFY’s entitlement to FFC under the Tariff.

DFY has demonstrated that the Tariff applies in several ways.

The Tariff applies by contract between NYK and DFY – as the NYK/DFY POA subjects their agreement to NYK Bill of Lading terms that incorporate the Tariff.

The Tariff applies by operation of the Commission’s Rules. 46 CFR §520.13(C)(1)

The Tariff applies because NYK demands that it does in every Bill of Lading issued by DFY for Ford. (*Tariff 156, NYK0001, 54886, & 54975, CX “A” and DFY’s Rule 230 Motion.*)

The Tariff applies because NYKS Tariff 156 requires every Bill of Lading issued to incorporate the Tariff.

And the Tariff applies by its terms – it has no applicable tariff rate - and FFC is calculated on the “gross freight”. The facts demonstrate the tariff’s applicability, despite the existence of a service contract.

While imposing the obligation upon DFY to establish that the Tariff applied over the service contract, the Decision reasoned, in part, that because the NYK/Ford service contracts are silent on the issue of freight forwarder compensation (i.e. did not include language on the issue or incorporate the Tariff) **and** because the Tariff did not incorporate the NYK/Ford service contracts, that the service contract eliminates the tariff obligations. *id.* At 20-21. The consequence of this holding, if it is allowed to stand, would be to amend several different sections of the Commission’s regulations related to tariffs, service contracts, and FFC, in ways the Commission has not proposed.

- **Purpose of Tariff and Service Contract Regulations**

The Decision briefly discusses the purpose of the Commission’s tariff regulations but does not consider this purpose in effectively writing new regulations. The Purpose of the Commission’s tariff regulations are set out in 46 C.F.R. § 520.1(b), which provides that “[t]he requirements of this part are intended to permit:

- (1) Shippers **and other members of the public** to obtain reliable and useful information concerning the rates and charges that will be assessed by common carriers and conferences for their transportation services;
- (2) Carriers and conferences to meet their publication requirements pursuant to section 8 of the Act (46 U.S.C. 40501-40503);
- (3) The Commission to ensure that carrier tariff publications are accurate and accessible and **to protect the public** from violations by carriers of section 10 of the Act (46 U.S.C. 41101-41106);and
- (4) The Commission to review and monitor the activities of controlled carriers pursuant to section 9 of the Act (46 U.S.C. 40701-40706). (emphasis added).

Here, the Commission makes it clear that carrier tariffs affect all members of the shipping public and that each has an interest in accurate and reliable tariff publications.

The Decision discusses the history and definitions of service contracts, and confirms that that service contracts are “between one or more shippers, on the one hand, and an individual ocean common carrier or an agreement between or among ocean common carriers on the other...” *id.* at 9 (quoting 46 U.S.C. §40102(20)). It also recognizes that “unlike tariffs, which unilaterally provide for rates and practices, service contracts are **commercial agreements between independent parties** which, in addition to rates and services, may contain other terms completely foreign to the traditional tariff.” *id.* At 23 (citing *Application of Evergreen International (U.S.A) Corp. for the Benefit of Service Contract Shipper* (“*Evergreen ALJ*”), 24 S.R.R. 575, 579 (ALJ 1987)) (*emphasis added*). It does not note the purpose of the Commission’s regulations on service contracts, which is “to facilitate the filing of service contracts and the publication of certain essential terms of those service contracts as required by section 8(c) of the [Act] (46 U.S.C. 40502)” and to “[enable] the Commission to review service contracts to ensure that these contracts and the parties to them comport with the requirements of the Act.” (See 46 C.F.R. §530.1). This authority attests that service contracts, as defined and treated by the Shipping Act and the Commissions Regulations, are agreements exclusively between shippers and carriers.

The Decision does not contemplate the unquestioned purposes and definitions of tariffs and service contracts in deciding that the existence of service contracts could negate the rights of freight forwarders even when those contracts do not refer to the freight forwarders Rule or the carrier’s tariff and the tariff does not cite the service contracts. If it had, it would not have been so quick to disregard the Commission’s acknowledgment that service contracts might not be able to adjust the level of freight forwarder compensation due under a tariff, let alone eliminate it.

- **Service Contracts Do Not Alter Freight Forwarder Compensation In Tariffs**

The Decision presupposes that the terms of service contracts between shippers and carriers automatically render all of the terms in the carrier's tariff applicable to the kinds of shipments being made unless the service contract actually incorporates the tariff or vice-versa. *id. At 21, 24-26*. In doing so it fails to see that tariffs, by their definition and purpose, reflect the terms of relationships between carriers and the greater shipping public, including shippers, while service contracts deal only with the relationship between carriers and the shippers (i.e. the actual parties to the contracts).

This distinction was not lost on the Commission when it issued the *Impact of the Ocean Shipping Reform Act of 1998* (FMC Report, Sept., 2001). There, the Commission stated that it was unclear from the Shipping Act whether parties to shipping contracts could alter the freight forwarder rate of compensation in the carrier's tariff at all. Specifically, the Commission admitted that it did not know if "Congress intend[ed] that parties to a service contract be permitted to negotiate the level of freight forwarder compensation to be paid on shipments moving under shipping contracts. *id. At 49*. Following this Report, the Commission promulgated no Regulations which purported to answer this concern, and Congress made no changes to the Shipping Act to address this issue.

Judge Wirth asserts that Congress or the Commission's failure to affirmatively state anywhere that shippers and carriers could change the freight forwarder compensation rates by their own agreement is not relevant to this present case because "the level of compensation is not at issue and there are no allegations that the service contracts set the freight forwarder rate." (*See id.*, p. 12). What Judge Wirth is suggesting here is that it might be true that shippers and carriers might not be able to lower/raise freight forwarder compensation rates described in tariffs through terms of service contracts, but they can eliminate freight forwarder compensation entirely by merely failing to mention it at all in the service

contracts. This logic would lead to the absurd conclusion that shippers and carriers might not be able (without freight forwarders knowledge or permission) to lower a tariff freight forwarder compensation rate from 2% to 0.0000002% by stating the change in a service contract, but they can lower it all the way to 0% by simply not making any reference to freight forwarder compensation. Despite the possible “legitimate business reasons that parties, particularly ocean common carriers, might want to consider freight forwarder costs when negotiating service contracts” (*id. At 12*), it is a clear misinterpretation of the intent of both Congress and the Commission in the Decision to assume that carriers can reduce freight forwarder costs to nothing by simply entering into service contracts (like those in the instant case) that are 1) completely silent on the issue of FFC; 2) are confidential and not filed with the Commission; 3) go undisclosed to freight forwarders; and (4) while a published tariff on the same cargo promises FFC – with no analysis or even mention of how that could be.

There is no legal basis - no statute, regulation, or case law - in the history of maritime or admiralty law that supports a finding that the existence of a confidential service contract silent on FFC will secretly eliminate the published Tariff and Rule that promises it. Instead, she refers to Rules that allow carriers to cross-reference tariffs in service contracts. (See *id.*, pp. 24-26). Judge Wirth states that “[t]he rules are clear that reference to tariff provisions is optional and voluntary -- these rules do not suggest that reference to tariffs is automatic or required.” (See *id.*, p. 26). The Decision reasons that “[i]f tariff terms were automatically incorporated into every service contract, these rules would not be necessary as it would be clear that tariff rules applied to shipments transported via service contracts.” (See *id.*).

There is no dispute that parties to service contracts can reference a Tariff. Then, the Decision turns the permissive cross-reference rule on its head: she reads it to require incorporating tariff

provisions related to third parties into service contracts between only shippers and carriers. This is contrary to the purpose of the permissive cross-referencing rule which the Decision provides then ignores, which is “to allow **parties to the service contracts** more freedom and flexibility in their commercial agreements.” *id.* At 24 (quoting *OSRA Regs. – NPR, Service Contracts Subject to the Shipping Act of 1984*, 63 Fed. Reg. 71062, 71066 (Dec. 23, 1998) (*emphasis added*)).

It is especially telling that earlier this year, when the Commission decided to undertake the “first comprehensive review of the FMC’s service contract regulations in part 530 since the Commission promulgated implementing rules pursuant to OSRA ...” it did not amend any of those regulations to clarify that service contracts have the effect claimed by the Decision. *Final Rule on Amendments To Regulations Governing Service Contracts and NVOCC Service Arrangements*, issued March 29, 2017.

Service contracts allow shippers and carriers to negotiate terms of their relationship different than those contained in carriers’ tariffs. The Commission allows those parties to service contracts to reference tariffs into those service contracts, but neither it nor Congress has given shippers and carriers the ability or the right to contract away FFC obligations described and promised to third-party freight forwarders in carriers’ publicly available tariff. The Decision cites no authority that actually stands for this notion, and the Commission would never have questioned whether Congress intended for parties to service contracts to be able to reduce FFC incrementally if it believed the Regulations it promulgated allowed those parties to eliminate freight forwarder compensation without even saying so.

- **Exception No. 8: The Decision Impermissibly Construes Inferences From Material Facts Against Non-Movant DFY And Not In The Light Most Favorable To Non-Movant – Reverse Inferences.**

The Decision misapplied the Summary Decision standard in granting NYK’s Motion by in drawing inferences from contested, material facts in the movant’s favor and against non-movant DFY.

- **Notice of the NYK/Ford Service Contracts**

The Decision repeatedly relies on the “fact” that NYK notified DFY that the Ford shipments on NYK vessels were “being shipped pursuant to service contracts.” *id. at 2, 22 & 27*. In this instance, the Decision does not simply fail to view whether NYK ever gave DFY such notice in the light most favorable to DFY, as the non-moving party, she assumes a fact that is directly contrary to the record of the case. Even NYK doesn’t claim that DFY knew that NYK was operating under a secret service contract with Ford; or the terms to that contract.

NYK admits that it did not inform DFY of the existence of the NYK/Ford service contracts during the course of the negotiation of terms of the power of attorney executed by DFY and NYK, and no mention of a service contract between Ford and NYK is ever mentioned in the emails between DFY and NYK before that document was executed. (See *DFY’s Statement of Material Facts*, ¶¶79; *DFY’s Motion*). NYK confirmed that because these service contracts are confidential and unfiled, it is unaware of any legitimate way DFY could have gotten any access to them was to file the subject law suit. (See *DFY’s Statement of Material Facts*, ¶¶27, 71). NYK itself didn’t even know that it might have some “contractual defense” to DFY’s claims until August 2016! See, e.g., *NYK’s Motion to Amend Answer*.

The Decision was right to point out that notice would at the very least be required before any confidential, unfiled service agreement could possibly affect the rights of a third-party freight forwarder; there is just nothing in the record on which to base the Decision’s repeated conclusions that DFY was put on any notice regarding these contracts before the subject suit was filed.

DFY made two written demands for FFC prior to suit. NYK never responded. (CX “CC”)

DFY’s Petition was filed in January 2016. NYK’s first Verified Answer mentions no Service Contract. The Service Contract was never revealed to DFY until September 2016 in NYK’s Amended

Answer asserting for the first time that the Tariff allegedly did not apply. (*Tariff 156, NYK0001, 54886, & 54975, CX “A” and DFY’s Rule 230 Motion.*)

- **NYK’s 2 Contradictory Verified Answers.**

NYK filed 2 separate and contradictory Verified Answers that, viewed in a light most favorable to DFY – questions the veracity of the alleged service contract defense.

The Decision did not weigh the contradicting Verified Answers filed by NYK. NYK’s first Answer made no mention that any service contract was significant. The second Answer asserted that the service contract was significant. These competing sworn statements – facts – permit an inference to be drawn against NYK as to the veracity of their interpretation of the language of the tariff – a question of fact. Instead, the Decision concluded, in NYK’s favor, that the late and contradictory service contract defense, combined with NYK’s demand that DFY waive FFC demonstrated “the fact that the cargo shipped pursuant to the service contracts rather than the tariff, so that the tariff, by its express provisions, did not apply.” *Id. at 20*. This was fundamental error.

The Decision did not weigh the contradicting Verified Answers filed by NYK. Drawing an inference from NYK’s 9 month delay in even asserting the service contract defense and NYK’s failure to mention it in the 1st Verified Answer can undermine the factual basis for the Decision’s conclusion that either “NYK Line made DFY aware that the cargo was being shipped via service contracts,...”; *id. at 27*; “the Waiver Request put DFY on notice that the cargo was being shipped under confidential service contract...?” *Id. at 22*; or that “DFY had actual knowledge that the cargo was being shipped pursuant to service contracts...” *Id. at 2*.

While there remains no evidence to support these conclusions, the entire Decision was founded on this alleged “notice”. For this reason alone, the Decision should be reversed.

DFY, as a member of the shipping public, specifically asked NYK whether NYK would honor their published tariff. No answer was forthcoming. DFY reasonably concluded that Tariff 156 and its Rules meant what it said, and that under all **known** applicable law and all **known** facts, NYK would adhere to Tariff 156 and its Rule's provisions.

Moreover, in light of NYK's continuous demands that DFY waive FFC, NYK's multiple back-door attempts by NYK to convince Ford to amend the Ford service contract to waive DFY's right to FFC; NYK's multiple requests to Ford to bring pressure on DFY to waive FFC; highlights NYK's bad-faith conduct and demonstrates that their current claimed service contract defense is not undisputed, or a simple legal question. The shipping public and any of their "wise counsel" would have available the current tariff & Rule and a non-responsive carrier secretly working the back channels to Ford to acquire an agreement to eliminate DFY's FFC right. If NYK was not going to honor its tariff, it could have said so.

Under the Decision's reasoning, NYK's refusal to respond or engage in a discussion, or even respond to three demands for FFC in September 2015, December 2015 and January 2016, is DFY's tough luck. Under the Decision's reasoning, since the parties could not agree on the language of a Power of Attorney that included FFC, the Commission will offer no recourse to enforce published tariffs, or its own regulations.

The Decision concluded that NYK's refusal to answer DFY's question as to whether NYK would honor their applicable tariff to mean "that the cargo shipped pursuant to the service contracts rather than the tariff, so that the tariff, by its express provisions, did not apply." (*Id. at 20*). There is no evidence to support this conclusion, let alone to draw this inference in NYK's favor. (CX "W")

- **The Power of Attorney.**

The Decision concluded that the NYK/DFY POA was a “relevant” document to demonstrate DFY’s lack of entitlement to FFC. It isn’t.

The Decision concluded that “the silence in the agreement” (the “POA”) makes the POA ambiguous. (*Id. at 19*). There is no claim that the POA is ambiguous. This POA was not intended by the parties to resolve the FFC issue. It is an integrated agreement. The pre-POA communications demonstrate NYK’s multiple attempts to pressure, threaten or persuade DFY to waive any potential claim for FFC. In comparison, the Decision could have said that “the silence in the [tariff]” makes the tariff ambiguous. That wasn’t done, and should have been.

Rather, the POA actually demonstrates that the NYK’s tariff applies. The POA specifically incorporates the NYK B/L terms. NYK Bills of Lading - created by DFY and prepared, processed and issued by DFY – that specifically incorporate NYK’s Tariff.

Instead, the Decision took this fact and drew the inference against DFY. This is fundamental error.

The Decision even construed the facts surrounding the pre-POA email exchanges against DFY. The decision determined that the “primary issue of contention was whether DFY was acting as a freight forwarder and was entitled to compensation”. That was not the case. The primary issue was NYK’s demand that DFY waive FFC obligations. (*Id. at 15 and CX “W”, DFY’s MSD and Proposed Statement of Facts, paras. 56-80*).

Then, the Decision interprets this exchange as a basis to conclude that DFY knew about the Ford/NYK service contract. *See, Supra at 30*.

- **The Absence Of Any Mention In The Tariff That FFC Would Not Be Applicable To Service Contract Shipments.**

The Decision erred in interpreting the absence of any mention of a non-tariff, negotiated, service contract or any other kind of “rate” in Rule 9 and then viewing the factual inferences from that ambiguity against DFY, the non-moving party. Instead, the Decision determined that despite the bill of lading terms incorporating the tariff, the Power of Attorney that incorporated those bill of lading terms, and the fundamental universally accepted understanding of “gross freight” in admiralty and maritime, she disregarded the clear phrase “[t]he compensation which is paid under this rule shall be on the gross freight.” Instead, the Decision relied upon the next sentence with the phrase “the gross freight includes the tariff rate and Heavy Lift and Extra Length charges, if applicable”, when the tariff itself described that the rate, heavy lift and extra length charges were not applicable. (*Tariff 156, NYK0001, 54886, & 54975, CX “A” and DFY’s Rule 230 Motion.*)

The Decision drew inferences in favor of NYK and against, DFY, the non-moving party when it determined that the term “includes” actually means the “definition” of “gross freight” as the “tariff rate” when there was no factual or legal basis to make that determination.

At best, the terms are ambiguous and must be construed in favor of DFY under interpretive law as well as the standard applied in deciding summary decision motions. This was error.

The Decision disregarded fundamental facts of the case to the effect that NYK knew that the tariff applied and simply tried to use economic force to have DFY waive freight forwarding compensation by threats, entreaties to Ford to pressure DFY the wave FFC (ex.), multiple post-POA requests to Ford to change the terms of the Service Contract to specifically waived freight forwarding compensation, (CX “W”); the First Amended Verified Answer which mentions nothing about the tariff not being applicable after NYK had ignoring three pre-suit FFC demands from DFY (CX “CC”).

Inferring from these facts that there was no legitimate interpretation of the tariff language different from DFY's - the non-moving party – was required.

It certainly is an error of both fact and law take these facts and conclude that these facts demonstrate DFY's notice that the tariff did not apply, that the Ford/NYK service contract did, and that DFY knew that in March 2015.

- **Shipment of Non-Commercial Vehicles**

The Decision points out that there remains a factual issue as to “whether shipments contained new assembled motor vehicles.” (*See id.*, p. 15). This fact is material to the present case because NYK's defense relies on service contracts NYK did not file with the Commission and for whom essential terms were not filed or otherwise made public. (*See DFY's Statement of Material Facts*, ¶¶27, 71). NYK would have had to file these service contracts and make essential terms public if the Ford shipments do not qualify as “new assembled motor vehicles,” which is one of the categories of cargo exempt from filing requirements. (See 46 C.F.R. §530.13(a)(4)). A “motor vehicle” is defined by the Commission as “a wheeled vehicle whose primary purpose is ordinarily the **non-commercial** transportation of passengers, including an automobile, pickup truck, minivan or sport utility vehicle.” (See 46 C.F.R. §530.3(m)). Both of the NYK/Ford service contracts, by their own express terms, cover the shipment of both “passenger and commercial automotive vehicles by ocean vessel.” (*See DFY's Statement of Material Facts*, ¶¶20, 70).

In this affirmative defense, NYK needs to establish that the NYK/Ford service contracts are valid and recognizable. Ignoring for the moment that these contracts do not purport to limit DFY's FFC claim, such a determination is contingent on the kind of cargo included in the Ford shipments and whether NYK was except from disclosing these contracts. If the “number of shipments involved” remains a

factual question requiring denial of DFY's Motion, the type of shipments should be an equal impediment to NYK's Motion. The Decision expressly assumes that "all of the motor vehicles shipped under Ford service contracts were noncommercial and new." (*See id.*, pp. 13-14). In doing so, Judge Wirth again impermissibly weighs disputed facts in the movant's favor.

- **Industry Practice on Freight Forwarding Compensation with Service Contracts**

In making factual determinations as to what understanding the "industry" possesses on the effect of service contracts on freight forwarding compensation, the Decision relied upon a "Commentary" article published in 1999 in the Journal of Commerce – a pre-OSRA – in support of the determination "that the industry appreciates the distinction between tariffs and service contracts". *Id.* at 23 – 24. The quoted material contends that "[f]orwarders desiring compensation for shipments moving under service contracts must see to it that the pact contains a compensation provision." *id.* This article does not actually address the interplay between tariffs and service contracts – in fact the article never mentions tariffs. The article does not state that this is (or was in 1999) the industry practice; it only offers a prediction of what might occur (without reference to any authority) after the Ocean Shipping Reform Act "takes effect May 1..." *id.*

The Decision adopts the future predictions of this article as what the "industry appreciates." Deeming this Commentary as any kind of authority in NYK's favor further compounds the error in the Decision to weigh factual claims against NYK as it relates to its motion.

Further, the "Commentary" is not relevant to the inquiry here. The "Commentary" does not mention the word "tariff", does not discuss tariffs or how they may interplay with service contracts and does not consider the situation where a published tariff promised FFC and the carrier refused to honor it.

There is no factual basis in the record to determine that this represents a “industry” view either. This “Commentary” is relied upon; yet the tariff, “a publication widely available well known within the industry”, was not! The Decision’s reliance on this article, interpreting it to be a “industry” view, adopting it in support and then ignoring the only NYK publication to the shipping public on FFC payments demonstrates clear error.

- **Exception No. 9: The Decision Wrongly Applies the Waiver of Freight Forwarder Compensation by DFY’s Predecessor on Ford Shipments – Again Impermissibly Drawing Inferences From Evidence In Favor Of The Moving Party.**

If the Decision wanted a more relevant take on what the industry of ocean carriers “appreciates” as to its obligations to freight forwarders when there exists service contracts, it need look no further than NYK’s own conduct with regard to all automobile manufacturer shipments other than those for Ford: NYK continued paying freight forwarder compensation on all of those shipments (even where there were service contracts) until it amended Rule 9 of its Tariff to remove compensation for automobile cargo. (See *DFY’s Statement of Material Facts*, ¶84). NYK understood that it had to pay this compensation regardless of their service contracts to all forwarders who did not waive their compensation. The actual reason NYK refused to pay DFY compensation is NYK’s belief that the waiver of compensation executed by DFY’s predecessor as freight forwarder on Ford shipments (Schenker, Inc.) should somehow also extend to DFY.

The Decision asserts a bases for granting the NYK’s Motion that “NYK had indicated to DFY that it would not pay freight forwarder compensation, and such compensation had not been paid to the previous provider.” (See *id.* p. 2). In so doing, the Decision implies that Schenker’s waiver is binding on DFY. There is absolutely nothing in the record of the case to suggest that there was ever any relationship between Schenker and DFY that would justify enforcing any contract executed by Schenker

against DFY, and NYK offers no such contract as “proof” that DFY ever waived that right. The Decision cites no authority to support this position, in the Shipping Act, the Commissions Regulations, or elsewhere. Schenker’s waiver can and should have no effect on DFY and cannot form any factual or legal basis for granting NYK’s Motion. (*Tariff 156, NYK0001, 54886, & 54975, CX “A” and DFY’s Rule 230 Motion.*)

- **Exception No. 10: The Decision Erroneously Suggests Freight Forwarders Must Reach Agreements with Ocean Carriers in Order to Merit Compensation.**

When the Decision references the Schenker waiver, not to suggest that it is enforceable against DFY, but instead as proof of what “wise counsel” or freight forwarders, themselves should do to “address possible issues when drafting an agreement to ensure that both parties have the same understanding to avoid costly litigation” (see *id.*, p. 22) the reference is equally misplaced. Again drawing an inference from the facts against the non-moving party.

There are no provisions in the Shipping Act, or sections of the Commission’s corresponding Regulations that require freight forwarders to obtain an agreement with ocean carriers that they will pay freight forwarder compensation. To the contrary, freight forwarders are entitled to rely on the information obtainable through public tariffs and publicly accessible essential terms of service contracts to determine whether they are entitled to compensation, what they must do to merit such compensation, and in what amount. Freight forwarders similarly have no affirmative duty to obtain confirmation from ocean carriers that they will adhere to applicable tariffs before the freight forwarders begin service on shipments. Yet, in an abundance of caution, that is what DFY attempted to do prior to the execution of the NYK/DFY power of attorney. (*CX “W”*) NYK refused to answer whether it would observe its tariff as it related to freight forwarder compensation. Instead, NYK threatened DFY, put pressure on DFY’s

business partners, tried to change the Ford/NYK Service Contract and then advised DFY that it would not pay FFC because DFY's predecessor waived FFC. (See *id.*).

A notification by an ocean carrier that it "was refusing to pay freight forwarder compensation" based on a waiver that DFY never made creates no duty at all on the part of a freight forwarder; it only alerts it that there is a stated chance that the ocean carrier will violate its tariff, the Shipping Act, and Commission Regulations. DFY and its counsel analyzed all information made accessible by NYK that related to whether DFY would be entitled to compensation if it performed the requisite freight forwarding services, and reasonably relied on Tariff 156 and its Rule 9 – the only public information available. DFY was not and could not have been aware of any service contracts between Ford and NYK, and there was no authority that stated that it would be deprived of compensation on freight forwarder compensation described in NYK's Tariff if such confidential, unfiled contracts silent on the issue of freight forwarder compensation existed. In the circumstances, there was no legal or factual reason for DFY to act differently.

- **Exception No. 11: The Decision Creates Adverse Public Policy Consequences.**

The Decision should also be rejected insofar as it grants NYK's Motion based on the public policy consequences that must, but weren't, considered.

The Decision would not just have the effect of depriving DFY of its right to compensation for work performed in nearly a twenty (20) month period, on shipments for which NYK was paid approximately \$40,000,000. (See *DFY's Statement of Material Facts*, ¶85; *NYK's Opposition to DFY's Proposed Findings of fact on Its Motion for Summary Judgment*, ¶85). The conclusion, that confidential, unfiled, service contracts silent on the issue of freight forwarder compensation eliminate freight forwarders' rights to compensation under applicable tariffs, can provide the basis for a number of

lawsuits by ocean carriers to recuperate sums already paid to freight forwarders when a service agreement exists.

Moreover, this holding could subject freight forwarders to prosecution by the Commission for violating 46 C.F.R. §515.42(d)'s prohibition against "accept[ing] compensation from a common carrier which is different from that specifically provided for in the carrier's effective tariff(s)." For example, in this case, accepting nothing.

There is nothing in the history of the Shipping Act or the accompanying Regulations to suggest that creating these issues was ever the intent of Congress or the Commission. Yet, the Decision would have the inevitable effect of commencing litigation to decide these very questions, and awarding judgment to ocean carriers and against freight forwarders without so much as a formal hearing. These public policy concerns should be considered by the Commission.

IV. CONCLUSION

NYK voluntarily published NYKS Tariff 156 promising FFC on auto cargo. There is no "tariff rate" applicable. Thus, according to the tariff, FFC was to be calculated at 1.25% of the "gross freight".

All NYK bills of lading incorporate the tariff.

NYK and DFY have a POA contract that also specifically incorporates NYK's bills of lading terms and subject all shipments to those terms. NYK's bill of lading terms incorporate the tariff.

NYK voluntarily published Tariff 156 and promised to pay FFC. NYK was not obligated by statute or regulation to issue a tariff that promised to pay freight forwarder compensation on shipments of automobile manufacturer cargo; it voluntarily did so. Once, it did, NYK was obligated to adhere to that tariff pursuant to The Shipping Act and corresponding regulations promulgated by the Commission until such time that that provision was amended or revoked.

NYK could have amended its Tariff to before DFY began performing freight forwarding services on Ford shipments on NYK's vessels, or immediately after DFY demanded compensation under the Tariff for such services, or as soon as DFY initiated the subject litigation; instead, NYK waited until nearly twenty (20) months after DFY began that work and over nine (9) months after the Complaint in this matter was filed to do so.

The Decision holds that NYK is not responsible for paying FFC during the period DFY performed freight forwarding services on Ford shipments on NYK's vessels while Rule 9 of the Tariff was still effective (even though NYK paid DFY and other freight forwarders such compensation on shipments for other automobile manufacturers through November 2, 2016) because of the existence of unfiled, confidential service contracts between only NYK and Ford. This holding has no basis in The Shipping Act, the Commissions regulations, the language of the Tariff, the language of the subject service contracts, or in any known caselaw and would disrupt the framework carefully created by Congress and the Commission regarding freight forwarders, tariffs, and service contracts in ways neither Congress nor the Commission has previously considered.

Without legal or factual bases for releasing NYK from its duty to pay DFY FFC under the applicable terms of the Tariff, and because there is no genuine dispute as to what activities DFY performed on the shipments of Ford cargo on NYK's vessels, summary decision in DFY's favor is appropriate.

Respectfully submitted,

LAW OFFICES OF THOMAS J. WAGNER, LLC

Date: September 6, 2017

By: _____

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BEFORE THE FEDERAL MARITIME COMMISSION

D.F. YOUNG, INC.,	:	
Complainant,	:	
v.	:	
NYK LINE (NORTH AMERICA), INC.,	:	DOCKET NO.: 16-02
NYK.	:	

CERTIFICATE OF SERVICE

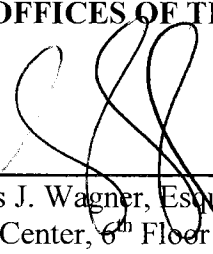
The undersigned certifies that on the date noted below he served a true and correct copy of the foregoing Complainant D.F. Young, Inc.'s Exceptions to Initial Decision Denying Complainant's Summary Decision Motion and Granting NYK's Summary Decision Motion Dated August 1, 2017 via Fed Ex Overnight and email on the following at the addresses provided:

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Respectfully submitted,

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